

FEDERAL MARITIME COMMISSION

YAKOV KOBEL AND VICTOR
BERKOVICH

Complainants,

v.

HAPAG-LLOYD, A.G., HAPAG-LLOYD,
INC., LIMCO LOGISTICS, INC., AND
INTERNATIONAL TLC, INC.,

Respondents.

Docket No. 10-06

Served: August 31, 2017

BY THE COMMISSION: Michael A. KHOURI, *Acting Chairman*; Rebecca F. DYE, William P. DOYLE, and Daniel B. MAFFEI, Commissioners.

**Order Granting Joint Request Approving Settlement
Agreement and Stay of Attorney Fee Proceeding and Request
for Confidential Treatment**

On April 3, 2017, Complainants and Respondent Limco Logistics, Inc. jointly requested that the Commission approve a settlement agreement, stay consideration of Complainants' attorney fee petition as to Limco, and grant confidential treatment to the proposed settlement agreement and covenant not to execute and release of claims. For the reasons set forth below, the Commission

grants the request, subject to the filing of a public version of the covenant.

I. BACKGROUND

In 2010, Complainants filed a complaint alleging that Hapag-Lloyd A.G., Hapag-Lloyd America, Inc., Limco, and International TLC, Inc. (ITLC) violated various sections of the Shipping Act in connection with the damage, delay, and liquidation of containers transported from Portland to Poland. The Administrative Law Judge determined that Complainants had not met their burden of proving a Shipping Act violation and dismissed their claims. *Kobel v. Hapag-Lloyd A.G.*, 32 S.R.R. 512 (ALJ 2012). The Commission affirmed the dismissal of the claims against Hapag-Lloyd, but it vacated and remanded the ALJ decision with respect to the 46 U.S.C. § 41102(c) (section 10(d)(1)) claims against Limco and ITLC. *Kobel v. Hapag-Lloyd A.G.*, 32 S.R.R. 1720 (FMC 2013).

On remand, the ALJ found that ITLC and Limco violated § 41102(c) and were jointly and severally liable for reparations of \$126,072. *Kobel v. Hapag-Lloyd A.G.*, 33 S.R.R. 594, 606 (ALJ 2014). The Commission affirmed and ordered ITLC and Limco jointly and severally to pay Complainants \$126,072 in reparations and \$2,963.29 in interest, for a total of \$129,035.29. *Kobel v. Hapag-Lloyd A.G.*, 34 S.R.R. 215, 222 (FMC 2015). Complainants petitioned for attorney fees, and at the Commission's request the parties filed briefs regarding the effect of the Howard Coble Coast Guard and Maritime Transportation Act of 2014, Pub. L. No. 113-281, § 402, 128 Stat. 3022 (Dec. 18, 2014). On April 3, 2017, Complainants and Limco filed the pending joint request for settlement approval. ITLC has not responded to the settling parties' request.

II. DISCUSSION

The Commission's regulations permit settlement, subject to Commission approval. 46 C.F.R. §§ 502.72(a)(3), 502.75 (a)-(b). The Commission reviews settlement agreements to determine "whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable." 46 C.F.R. § 502.72(a)(3). As part of this analysis, "the Commission looks to see if the settlement has a reasonable basis and reflects the careful consideration by the parties of such factors as the relative strengths of their positions weighted against the risks and costs of continued litigation." *APM Terminals N. Am., Inc. v. Port Auth. of N.Y. & N.J.*, 31 S.R.R. 623, 626 (FMC 2009) (quoting *Delhi Petroleum Pty. Ltd. v. U.S. Atl. & Gulf/Australia – New Zealand Conference & Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988)). The Commission's inquiry is informed, however, by its "strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid." *APM Terminals*, 31 S.R.R. at 625 (quoting *Inlet Fish Producers, Inc. v. Sea-Land Service, Inc.*, 29 S.R.R. 975, 978 (ALJ 2002)) (internal quotation marks omitted).

Having reviewed the proposed settlement, the Commission finds that it does not appear to violate any law or policy, it is fair, adequate, and reasonable, and it is free of fraud, duress, undue influence, mistake or other defect that might make it unapprovable. In exchange for Limco making certain payments and agreeing not to appeal the reparations award, Complainants have agreed not to pursue enforcement of the balance of the reparations award as to Limco and to dismiss their petition for attorney fees as to Limco. The proposed settlement agreement and the accompanying covenant not to execute and release of claims do not apply to ITLC.

The proposed settlement agreement does not appear to violate any law, and there is no evidence that it is infected with fraud, duress, undue influence or mistake, given that the settling

parties are represented by counsel. The proposed settlement agreement also has a reasonable basis and reflects the settling parties' careful consideration of the tradeoffs of continued litigation and settlement. They "desire to settle this case to end any further litigation and in particular the Complainants' claim for attorney's fees and any further litigation, including any appeals, and any further legal proceedings to enforce the reparations award already awarded." Jt. Request at 2. Although the Commission does not rubber stamp settlements, it also does not second-guess such valuations. *APM Terminals*, 31 S.R.R. at 626.

The proposed settlement agreement also does not appear to violate Commission policy, which favors settlements and presumes that they are fair. ITLC has not objected to the proposed settlement agreement. And, importantly, although ITLC is jointly and severally liable for the reparations award, the proposed settlement agreement provides that Limco's settlement payments will serve as a credit against that award. See *McDermott, Inc. v. Amclyde*, 511 U.S. 202, 208 (1994) ("It is generally agreed that when a plaintiff settles with one of several joint tortfeasors, the nonsettling defendants are entitled to a credit for that settlement."). Moreover, by approving the proposed settlement agreement, the Commission makes no findings as to Complainants' petition for attorney fees vis-à-vis ITLC.

Further, in conjunction with the proposed settlement, the settling parties seek a stay of the attorney fee proceedings with respect to Limco pending the completion of the terms of the settlement agreement. This request is reasonable, and the Commission will stay proceedings on Complainants' petition for attorney fees as to Limco for 90 days.

Finally, the Commission will treat the proposed settlement agreement confidentially under 46 C.F.R. § 502.5. The settling parties have identified the information they seek to protect and filed a public version of the agreement that redacts only that information. And while they have done little to demonstrate that the information at issue is a trade secret or other confidential research, development,

or commercial information, 46 C.F.R. § 502.5(b), the Commission has granted confidential treatment to settlement information in the past. *See Global Link Logistics, Inc. v. Hapag-Lloyd AG*, FMC Dkt. No. 13-07, 2015 FMC LEXIS 4, at *16-*19 (FMC Apr. 14, 2015). The Commission will also grant confidential treatment to the covenant not to execute and release of claims. But, because the settling parties have not filed a public version of that document, such treatment is contingent on the settling parties filing a public version of the covenant within three days of this order.

III. CONCLUSION

The Commission **GRANTS** the settling parties' joint request and **ORDERS** that: (1) the proposed settlement agreement is **APPROVED**; (2) proceedings on Complainants' petition for attorney fees with respect to Limco are **STAYED** until November 29, 2017; (3) the proposed settlement agreement is **CONFIDENTIAL**; and (4) the covenant not to execute and release of claims is **CONFIDENTIAL** as long as the settling parties file a public version of the document in accordance with 46 C.F.R. § 502.5(a)(2)(ii) by September 5, 2017.

Rachel Dickon
Assistant Secretary